

ECONOMY

LECTURES



GLOBALISATION - PART 1

MODULE - 5

THREE SECTORS OF ECONOMY



PRIMARY



SECONDARY



TERTIARY

HOW ARE THEY INTERLINKED?

DUMPER IS MANUFACTURING (SECONDARY)



LORRY TRAILER IS MANUFACTURING (SECONDARY)



TRANSPOR-
TATION
IS
TERTIARY



TRANSPOR-
TATION
IS
TERTIARY



PRIMARY

SECONDARY

SECONDARY



STEEL PLANT

HOW ARE THEY INTERLINKED?

LORRY IS MANUFACTURING (SECONDARY)

LORRY IS MANUFACTURING (SECONDARY)



TRANSPOR-
TATION
IS
TERTIARY



TRANSPOR-
TATION
IS
TERTIARY



PRIMARY

SECONDARY

TERTIARY

MANUFACTURING



Textile Mill



Steel Factory

DOMESTIC

OR BY

MNCs

DOMESTIC COMPANIES



MULTINATIONAL CORPORATIONS AT PRESENT



Nestlé



Standard
Chartered

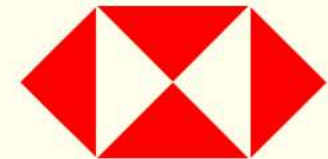


Microsoft

citigroup



IBM



HSBC



SITUATION IN INDIA DURING 1950 -1990



AMBASSADOR CAR



FIAT CAR

EXAMPLE DURING
1970s AND 1980s



**NOW IN INDIA...
DURING 2017**



VOLKSWAGEN



FORD



MERCEDES BENZ



HONDA



BMW



TOYOTA



GLOBALISATION

Globalization is the tendency of investment funds and businesses to move beyond domestic and national markets to other markets around the globe, thereby increasing the interconnection of the world



PRIVATISATION

Privatization is the transfer of ownership of property or businesses from a government to a privately owned entity.



LIBERALISATION

In general, **liberalisation** refers to a relaxation of government restrictions, usually in such areas of social, political and economic policy. In some contexts, this process or concept is often, but not always, referred to as deregulation.

GLOBALISATION



PRIVATISATION

PUBLIC SECTOR



PRIVATE SECTOR



LIBERALISATION

1991



In those days, BSNL did not exist, it was Department of Telecommunications, Govt. of India



2017



Reliance
jio



vodafone



airtel



LIBERALISATION

1991



2017

JET AIRWAYS 



air costā 

LIBERALISATION

1991



2017



LIBERALISATION

1991



AMBASSADOR CAR



FIAT CAR



MARUTI CAR

2017



VOLKSWAGEN



FORD



MERCEDES BENZ



HONDA



BMW



TOYOTA



WORLD AND THE MANUFACTURING

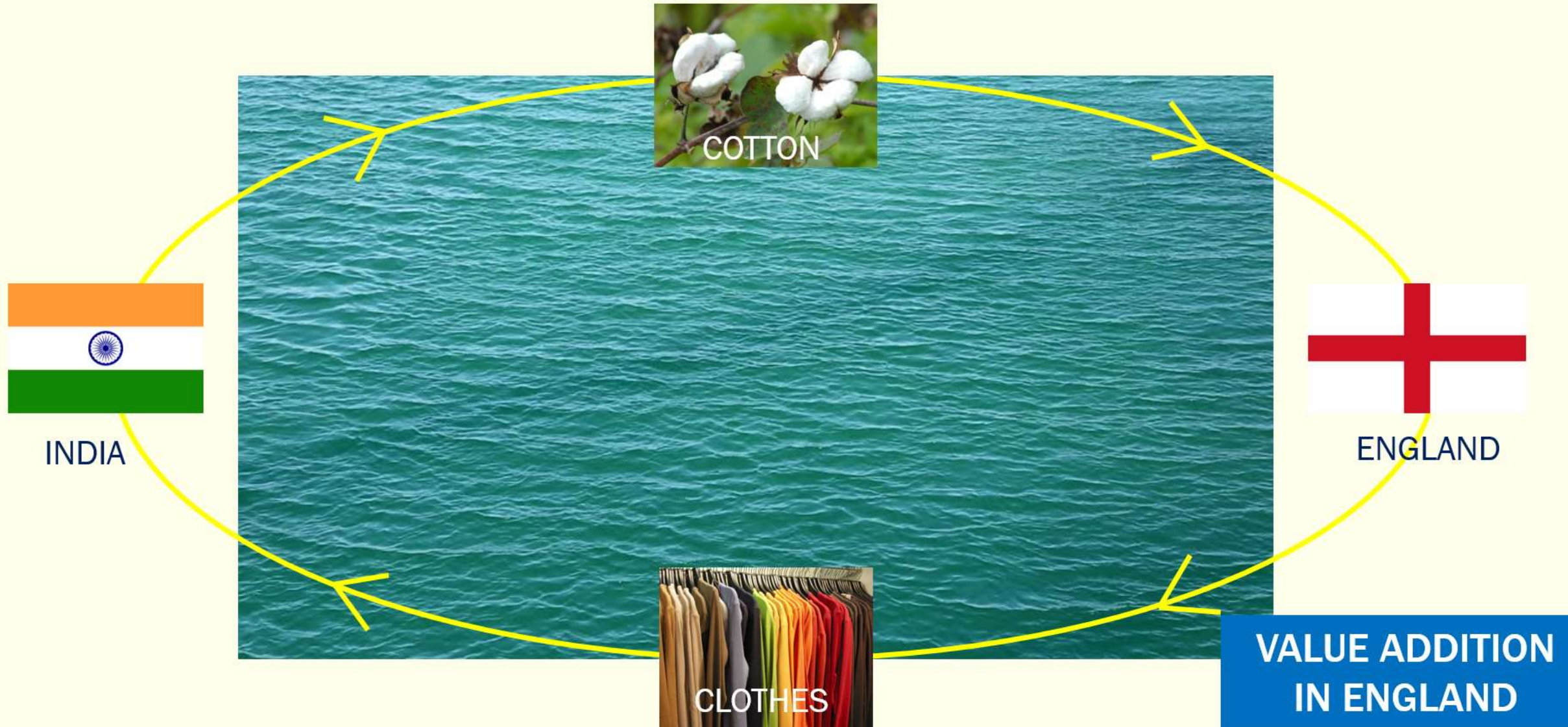
1950

- 1 Until the middle of the 20th century, production was largely organized within countries
- 2 Raw materials, food items, finished products used to cross boundaries
- 3 Countries under colonial rule exported raw materials and imported finished products. Hence, value addition / profits were garnered by the developed countries

2000

- 1 Big Multi-National Corporations (MNCs) emerged in between controlling production in several countries
- 2 A complex system of R&D / Manufacturing / Assembly in various countries was evolved
- 3 Companies are doing various activities, wherever they are cheaper to do so

INDIA... PRIOR TO 1947

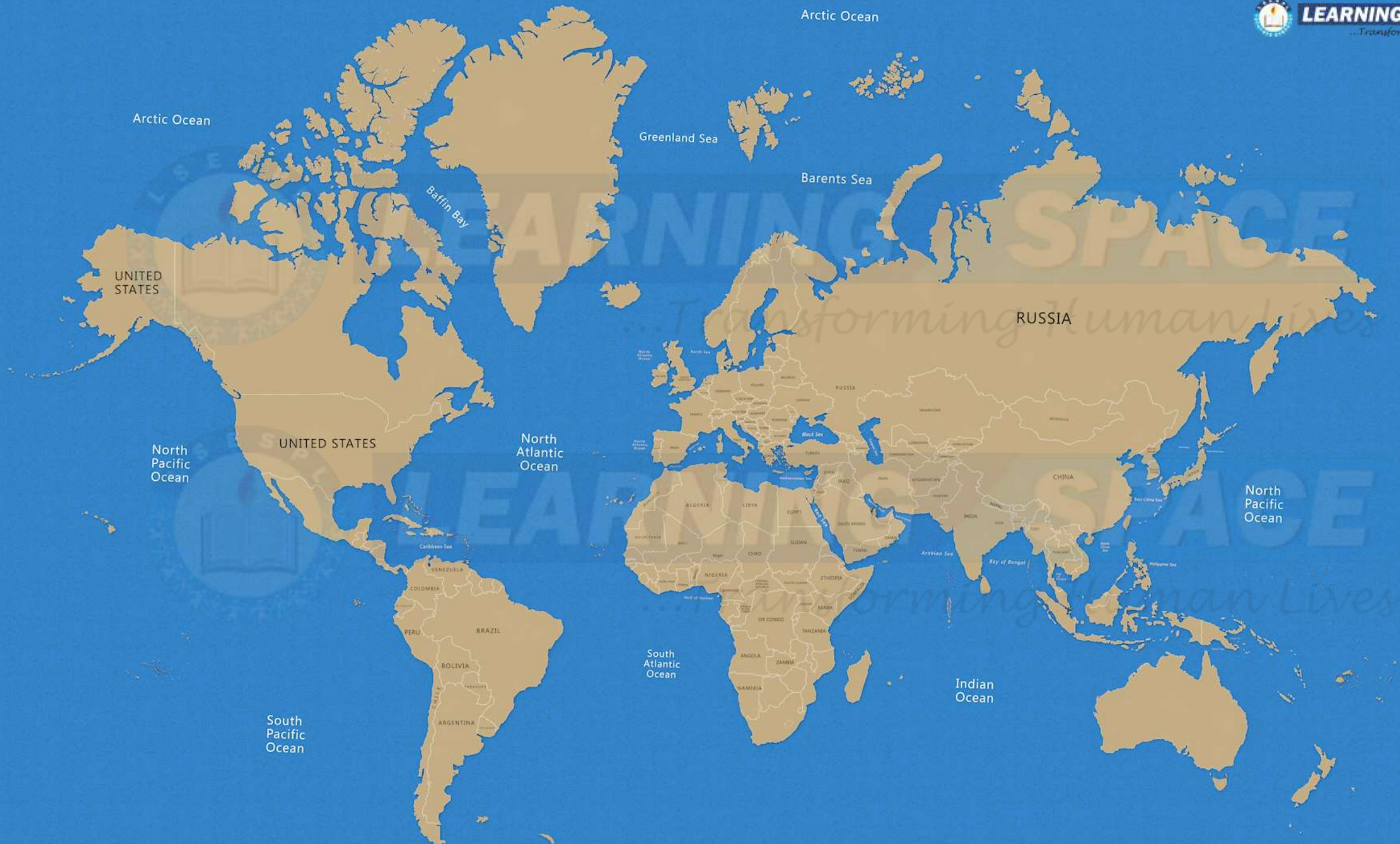




CONDITIONS FAVOURABLE FOR MULTI NATIONAL CORPORATIONS



- 1** Governments support through liberalization
- 2** Skilled and unskilled labour – available at cheaper costs
- 3** Govt's policies that look after the interest of MNCs
- 4** Stable Governments & orderly environment
- 5** New markets close to the areas of assembly of components
- 6** Sufficient domestic companies in various countries for buyouts and expansion of production quite easily



SEE THE COMPLEX WEB OF
GLOBALISATION !

